

29 Jun 2026 02:35:48 ET | 20 pages

Murata (6981.T)

Upgrading to Buy - AI servers fuel acceleration in MLCC profit growth

CITI'S TAKE

We upgrade Murata to Buy from Neutral and raise our target price to ¥15,000 from ¥3,900, reflecting revisions to our earnings forecasts, changes to our valuation assumptions (risk premium down from 4% to 3%), and a shift in our base year (from FY3/28 to FY3/29). We raise our earnings forecasts significantly, reflecting our increased AI server unit outlook and favorable MLCC pricing in the AI server space. While we do not currently anticipate company-led price revisions for general-purpose products, we note that such revisions would create additional upside.

MLCC outlook — Murata is now in a phase of accelerated MLCC sales/profit growth in the AI server space. Rising capacitance has led to unit price hikes, with the resulting improvement in product mix boosting profit growth significantly. Given the high entry barriers for high value-added products, we think it is relatively easy for the firm to raise unit prices for server applications, meaning these hikes are likely to be sustained. We do not currently assume price hikes driven by supply-demand.

OP forecasts — We raise our OP forecasts from ¥380bn to ¥440bn for FY3/27 (+56.1% YoY) and from ¥426bn to ¥630bn for FY3/28 (+43.2%), and newly forecast ¥800bn for FY3/29 (+27.0%). The big increase in our forecasts reflects our increased AI server unit outlook and a higher MLCC ASP (in yen) thanks to an improved product mix (+14% YoY for FY3/27).

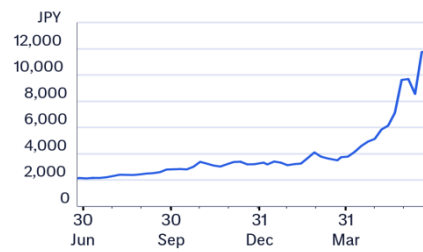
Share price view — Our target price (¥15,000) is calculated using RoIC-WACC. It equates to an FY3/29E PER of c43x. We consider this level acceptable to some extent given the widening of the RoIC-WACC spread from accelerating profit growth. Upside risks include the potential for broad-based MLCC price increases. While we currently see the likelihood as low given the company's long-term strategy, we estimate that a 10%+ price increase across all products would yield a fair value of c¥18,000. For April-June results, we expect a rising BB ratio to act as a tailwind for the stock price.

Buy ↑ from Neutral

Price (26 Jun 26 15:30)	¥10,770.0
Target price	¥15,000.0 ↑
	from ¥3,900.0
Expected share price return	39.3%
Expected dividend yield	0.6%
Expected total return	39.9%
Market Cap	¥19,604,546M
	US\$121,330M

Price Performance

(RIC: 6981.T, BB: 6981.JP)



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Consol.	Sales		OP			Pretax Profit		NP		EPS	PE
	¥M	YOY (%)	¥M	YOY (%)	OPM (%)	¥M	YOY (%)	¥M	YOY (%)		
3/25A	1,743,352	6.3	279,702	29.8	16.0	304,404	27.2	233,818	29.3	125	86.4
3/26A	1,830,856	5.0	281,835	0.8	15.4	308,643	1.4	233,920	0.0	127	84.8
3/27CE	1,960,000	7.1	380,000	34.8	19.4	390,000	26.4	293,000	25.3	161	66.9
3/27E	1,881,900	2.8	380,000	34.8	20.2	407,500	32.0	314,000	34.2	172	62.4
3/27RE	1,952,190	6.6	440,000	56.1	22.5	450,000	45.8	346,900	48.3	191	56.5
3/28E	2,007,000	6.6	426,000	12.1	21.2	453,500	11.3	349,400	11.3	192	56.1
3/28RE	2,277,200	16.6	630,000	43.2	27.7	640,000	42.2	493,200	42.2	271	39.7
3/29E	2,460,700	8.1	800,000	27.0	32.5	810,000	26.6	624,100	26.5	343	31.4

A: Actuals, E: Citi Research Ests, CE: Co. Ests, RE: Citi Research Revised Ests, CRE: Co. Revised Ests, NA: Not Available, NM: Not Meaningful

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

6981.T: Fiscal year end 31-Mar						Price: ¥10,770.0; TP: ¥15,000.0; Market Cap: ¥19,604,546m; Recomm: Buy					
Profit & Loss (¥m)	2025	2026	2027E	2028E	2029E	Valuation ratios	2025	2026	2027E	2028E	2029E
Sales revenue	1,743,352	1,830,856	1,952,190	2,277,200	2,460,700	PE (x)	86.4	84.8	56.5	39.7	31.4
Cost of sales	-1,025,650	-1,056,030	-1,052,190	-1,167,200	-1,180,700	PB (x)	7.8	7.2	6.7	6.0	5.2
Gross profit	717,702	774,826	900,000	1,110,000	1,280,000	EV/EBITDA (x)	41.3	40.6	30.5	22.2	18.1
Gross Margin (%)	41.2	42.3	46.1	48.7	52.0	FCF yield (%)	1.3	0.5	1.3	2.1	2.7
EBITDA (Adj)	453,037	460,047	612,000	830,000	1,000,000	Dividend yield (%)	0.5	0.6	0.6	0.7	0.7
EBITDA Margin (Adj) (%)	26.0	25.1	31.3	36.4	40.6	Payout ratio (%)	46	51	37	30	23
Depreciation	-173,335	-178,212	-172,000	-200,000	-200,000	ROE (%)	9.1	8.8	12.3	15.9	17.7
Amortisation	0	0	0	0	0	Cashflow (¥m)	2025	2026	2027E	2028E	2029E
EBIT (Adj)	279,702	281,835	440,000	630,000	800,000	EBITDA	453,037	460,047	612,000	830,000	1,000,000
EBIT Margin (Adj) (%)	16.0	15.4	22.5	27.7	32.5	Working capital	30,505	-61,198	-795	-50,164	-66,060
Net interest	24,593	26,793	10,000	10,000	10,000	Other	-32,482	-48,987	-94,433	-138,133	-177,233
Associates	0	0	0	0	0	Operating cashflow	451,060	349,862	516,772	641,703	756,707
Non-Op/Except/Other Adj	109	15	0	0	0	Capex	-180,471	-247,778	-270,000	-230,000	-230,000
Pre-tax profit	304,404	308,643	450,000	640,000	810,000	Net acq/disposals	0	0	0	0	0
Tax	-71,431	-74,862	-103,500	-147,200	-186,300	Other	-27,599	-58,743	0	0	0
Extraord./Min.Int./Pref.div.	845	139	400	400	400	Investing cashflow	-208,070	-306,521	-270,000	-230,000	-230,000
Reported net profit	233,818	233,920	346,900	493,200	624,100	Dividends paid	-106,155	-122,796	-132,246	-148,989	-145,623
Net Margin (%)	13.4	12.8	17.8	21.7	25.4	Financing cashflow	-242,733	-208,152	-218,426	-235,168	-231,803
Core NPAT	233,818	233,920	346,900	493,200	624,100	Net change in cash	2,296	-164,811	28,347	176,534	294,904
Per share data	2025	2026	2027E	2028E	2029E	Free cashflow to s/holders	270,589	102,084	246,772	411,703	526,707
Reported EPS (¥)	124.6	127.0	190.6	270.9	342.9						
Core EPS (¥)	124.6	127.0	190.6	270.9	342.9						
DPS (¥)	57.0	65.0	70.0	80.0	80.0						
CFPS (¥)	240.5	190.0	283.9	352.5	415.7						
FCFPS (¥)	144.3	55.4	135.6	226.2	289.4						
BVPS (¥)	1,385.8	1,493.6	1,611.5	1,800.6	2,063.5						
Wtd avg ord shares (m)	1,876	1,841	1,820	1,820	1,820						
Wtd avg diluted shares (m)	1,876	1,841	1,820	1,820	1,820						
Growth rates	2025	2026	2027E	2028E	2029E						
Sales revenue (%)	6.3	5.0	6.6	16.6	8.1						
EBIT (Adj) (%)	29.8	0.8	56.1	43.2	27.0						
Core NPAT (%)	29.3	0.0	48.3	42.2	26.5						
Core EPS (%)	30.2	1.9	50.0	42.2	26.5						
Balance Sheet (¥m)	2025	2026	2027E	2028E	2029E						
Cash & cash equiv.	625,148	653,701	769,560	1,033,607	1,416,023						
Accounts receivables	294,419	328,159	349,907	364,352	393,712						
Inventory	482,833	520,472	507,569	569,300	615,175						
Net fixed & other tangibles	1,183,727	1,300,883	1,398,883	1,428,883	1,458,883						
Goodwill & intangibles	40,647	59,563	59,563	59,563	59,563						
Financial & other assets	401,420	336,321	336,321	336,321	336,321						
Total assets	3,028,194	3,199,099	3,421,803	3,792,026	4,279,677						
Accounts payable	69,617	79,798	87,849	113,860	123,035						
Short-term debt	781	1,745	1,745	1,745	1,745						
Long-term debt	1,656	1,516	1,516	1,516	1,516						
Provisions & other liab	376,165	398,230	398,230	398,230	398,230						
Total liabilities	448,219	481,289	489,340	515,351	524,526						
Shareholders' equity	2,580,805	2,718,743	2,933,397	3,277,608	3,756,084						
Minority interests	-830	-933	-933	-933	-933						
Total equity	2,579,975	2,717,810	2,932,464	3,276,675	3,755,151						
Net debt (Adj)	-622,711	-650,440	-766,299	-1,030,346	-1,412,762						
Net debt to equity (Adj) (%)	-24.1	-23.9	-26.1	-31.4	-37.6						
For definitions of the items in this table, please click here .											

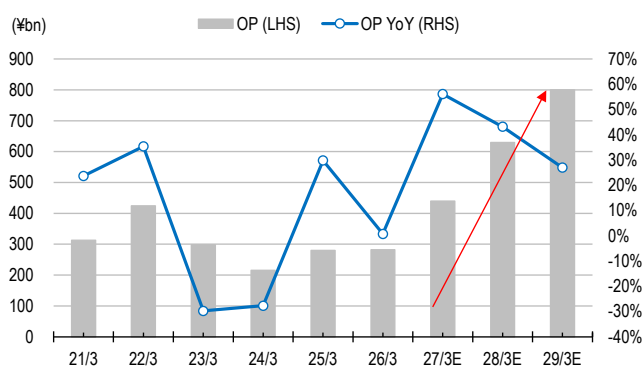
For definitions of the items in this table, please click [here](#).

Fundamentals: Favorable AI server-related prices and volumes to drive profit growth

AI server-related demand to accelerate profit growth; we make large upward revisions to forecasts

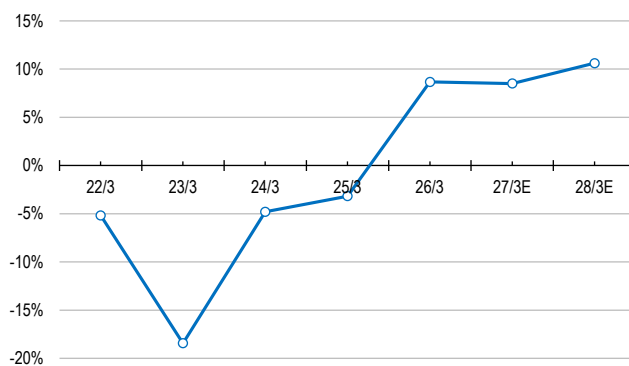
We raise our OP forecasts for Murata from ¥380bn to ¥440bn (+56.1% YoY) for FY3/27 and from ¥426bn to ¥630bn (+43.2%) for FY3/28, and we add a forecast of ¥800bn (+27%) for FY3/29 (Figure 1). Our outlook for stronger profit growth factors in 1) continued growth in demand for AI-server MLCCs supported by a sustained increase in AI server volume, and 2) revisions to our unit price assumptions for AI-server MLCCs, incorporating a smaller decline in MLCC unit prices and a resultant sustained increase in the ASP (Figure 2). We assume an exchange rate of ¥160/\$ from July-September 2026.

Figure 1. OP and OP growth: expecting big growth to record profit



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Source: Citi Research, Company data

Figure 2. Change in MLCC ASP (\$; our YoY assumptions): improving mix fuels increase



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Source: Citi Research

Changes in sales and profit growth driven by an increase in the number of AI servers

Growth in the number of AI servers is accelerating year by year (Figure 3). We had expected volume growth to slow from CY27, but we now forecast it will expand to +27% in CY27 from +15% in CY26. While we expect this to be positive for all electronic components, we think it will have a particularly large impact on MLCC volumes (Figure 4).

In AI servers, the increase in power consumption and sharp fluctuations in electric current caused by accelerators place a heavy load on passive components. As a result, the number of MLCCs per board is expected reach around 11,000 for GPUs in CY26 compared with around 2,000 for general-purpose servers.

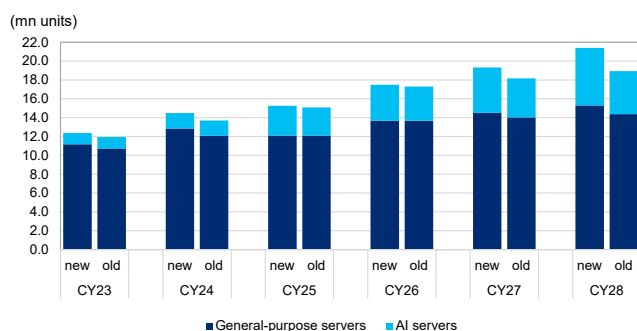
The increase in required capacitance is raising the added value of MLCCs and creating a high barrier to entry. While regular servers use MLCCs with a capacitance of around 10 μ F, most current AI-server MLCCs have a capacitance of 47 μ F. Considering the high capacitance required to deal with sudden voltage drops and also mounting area constraints, we forecast 100 μ F MLCCs will become standard going forward, resulting in a continued increase in MLCC capacitance and unit prices.

Raising capacitance leads to an increase in the number of thin film layers. This, in turn, increases the production load and reduces production yields. We believe the more challenging manufacturing process constitutes a barrier to entry for AI server

MLCCs. We recognize Murata, Samsung Electro-Mechanics, and Taiyo Yuden as the three main suppliers of high-capacitance MLCCs for AI servers, although we believe Murata has the highest market share (c50%) thanks to its superior production yield.

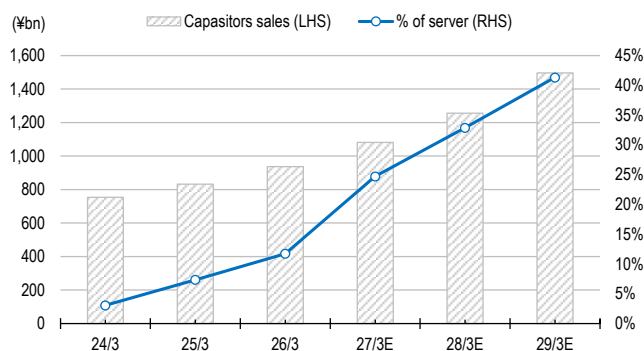
The increase in capacitance per board leads to a significant increase in the MLCC production load. Murata has announced an additional capacity expansion of 20% on top of its normal annual expansion (around 10%). However, further increases may be necessary, depending on demand. The increase in investment for AI server MLCCs can be passed on to MLCC prices, and we believe the announcement of the additional investment will be viewed positively.

Figure 3. AI server volume outlook: raising volume outlook that supports component demand



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Source: Citi Research

Figure 4. Capacitor sales outlook and weighting of server-related sales: sales for server applications driving growth



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Source: Citi Research, Company data

We do not expect across-the-board price hikes at this time

While we expect AI-server MLCC prices to increase as a result of the aforementioned factors, considering the supply-demand environment we do not expect MLCC unit price hikes to be widespread. Moving forward, if Murata indicates an intention to raise prices, we think this would be an additional upside factor for profits. If it were to increase the prices of all MLCCs by 10%, we calculate FY3/29 OP would reach around ¥920bn, which we estimate equates to ¥18,000 per share.

Murata's BB ratio for January-March was 1.36, the highest level in 10 years. This raised market expectations of price hikes. However, [at its FY3/27 results briefing and a roundtable meeting for sell-side analysts, Murata expressed a negative view of price hikes in response to changes in the supply-demand balance](#). Also, in a *Nikkei* interview published on June 17, Taiyo Yuden president Katsuya Sase said that while the company was passing on increases in material costs, it currently had no plans to raise prices in response to tightening supply.

Previous price hike

Price increases were last considered in 2018, when, like now, the BB ratio was elevated. Hikes were implemented in 2019 (Figure 5). An increase in the number of MLCCs used in smartphones accompanying performance improvements and a rapid increase in demand for large MLCCs accompanying the advance of auto electrification formed the backdrop. Prices were raised to pass on the cost of investing in MLCC capacity expansion to meet customer needs. Thereafter, prices fell sharply (Figure 6) due to a steep drop in demand for high-end Chinese

smartphones caused by trade friction, a worsening economy, and a buildup of distribution channel inventory caused by the acceleration of demand in anticipation of price hikes. After the previous cycle, MLCC makers, including Murata, increased capacity annually.

Focus on whether competitors raise prices

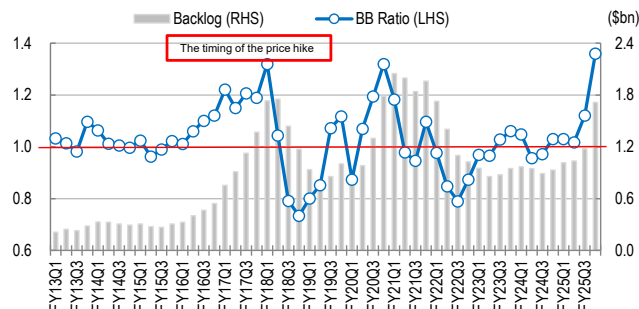
For now, we assume Murata will not raise prices in response to supply-demand factors. This is because 1) an increase in AI server-related sales will boost its profit margin, and 2) Murata already has a high profit margin compared with competitors, so raising prices would be a boon for them.

One reason for this is that in recent years Chinese MLCC makers have expanded production capacity with the aim of increasing market share. However, one of Murata's strategies is to maintain a high market share not only in high-end product segments but also in the general-purpose volume zone. Backed by high mass production yields and strong material development capabilities, Murata is highly competitive across all fields from low-end to high-end products, and its profit margin is significantly higher than those of competitors. In addition, it is positioned to benefit from demand for high-price AI-server MLCCs in the form of profit margin improvement and cash flow expansion. If Murata were to take the lead in implementing broad price hikes, it would probably encourage hikes by Chinese competitors in low-end market segments and Japanese/Korean competitors in high-end segments, ultimately benefiting rivals.

An increase in the number of products that have high production loads has created an environment in which unit price declines in consumer electronics fields are less likely than before. Moving forward, if MLCC supply for AI servers and other high-end applications remains tight, Murata's competitors implement price hikes, and its own supply capacity is constrained, we think Murata will probably raise prices.

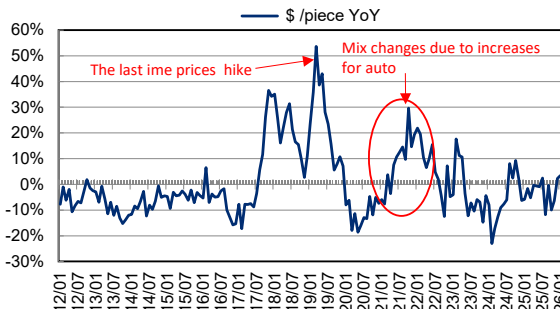
We will continue to monitor BB ratios and order backlogs across the industry. We expect BB ratios for April-June to be higher than ratios for January-March because of seasonal factors.

Figure 5. Murata's BB ratio and order backlog: BB ratio has reached historical high



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Source: Citi Research, Company data

Figure 6. ASP (\$) YoY: no price hikes evident as yet



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Source: Citi Research, MoF

The changes in our OP forecasts

We raise our OP forecast to ¥440bn from ¥380bn for FY3/27 (+56.1% YoY), and to ¥630bn from ¥426bn for FY3/28 (+43.2%), introducing FY3/29E at ¥800bn (+27.0%). The main factor in our FY3/27 revision is the yen-basis MLCC ASP outlook (a boost of c¥80bn), which we lift to an annual increase of 14% from 6%

predicated on 1) a 50% increase for AI server MLCCs (previous assumption +30%), 2) limited decline for consumer app MLCCs, and 3) ¥160/\$ from July–September onward (¥150/\$). We model a ¥10bn decline for device modules on factors including falling prices for resin substrates for high-end smartphones.

ASP increases on change in MLCC mix are also key in our FY3/28 outlook. We model a ¥200bn increase in MLCC OP based on acceleration in the server weighting (to 32%, previous assumption 22%) along with AI server MLCC volume growth and ASP acceleration.

Valuation: Breakout above all-time high

Target price based on RoIC-WACC, tested with PER

We still use RoIC-WACC for calculating our target price. We supplement this with a PER test.

We use RoIC-WACC for all our electronic component target price calculations. We regard profit generation from invested capital as appropriate for computing theoretical share prices given that sector profits stem from capacity expansion fueled by a constant capex stream. We set a base year of FY3/29, an equity-risk premium of 3.0% based on the latest TOPIX earnings yield, and assume FY3/29 adjusted RoIC of 25.5% (beta 1.15, WACC 5.3%).

On this basis we obtain a target price of ¥15,000 using the equation below.

Theoretical shareholder value = (FY3/29E adjusted NOPAT x future business value multiplier) + end-FY3/29E net cash [partial or entire, after deducting an amount equivalent to 5% of annual sales] less end-FY3/29E minority interests)/(1+WACC)^(33 /12).

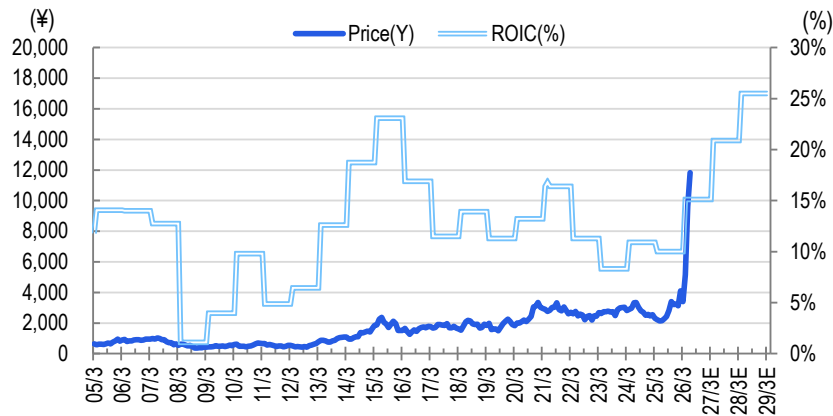
RoIC entered a recovery, tracking MLCC cycle

Murata's RoIC rose when price hikes were announced in the previous cycle (FY3/19), corrected on US–China trade friction (FY3/20), and then rose in FY3/21–FY3/22 on higher electronic component demand fueled by the COVID-19 pandemic. Most recently it has picked up with increased AI server weightings (Figure 7).

RoIC set to rise as margins improve on growth in AI server products from this FY out

We assume a sizeable increase in RoIC from this FY on improvement in profit margins. While Murata is accelerating investment in MLCC capacity expansion we expect greater efficiency in investment, with earlier returns fueled by a larger weighting of higher-price AI server MLCCs. We model RoIC of c15% in FY3/27, the same level as in the previous cycle, rising to just over 20% in FY3/28, and over 25% in FY3/29. Given such record RoIC levels, we see room for a share price response.

Figure 7. RoIC and the share price: RoIC set to reach record high



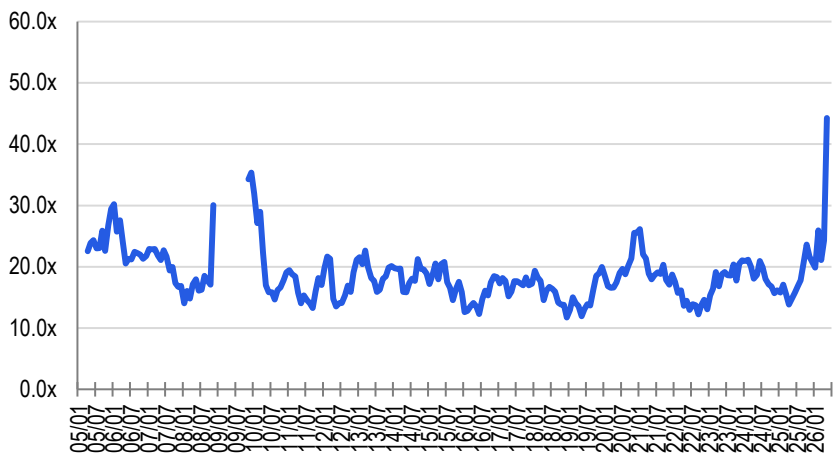
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Source: Citi Research

Target PER of c43x on FY3/29E basis, well above historical peak

The PER derived from our target price is 54x for FY3/28E and 43x for FY3/29E, well above the historical peak (c30x-35x).

In the previous “price hike” phase, the 1y-forward PER advanced from 12x to 18x in FY17-FY18 when the BB ratio rose. This time we see justifications for our target in factors including the 1yr forward PER of c25x immediately prior to BB ratio increases, relative considerations for AI-related names, expansion in RoIC and profit margins, and a sustained profit growth phase.

Figure 8. Next FY PER: The 54x implied by our TP is above the historical high



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Source: Citi Research, Bloomberg

Figure 9. Murata: Income statement

	23/3	24/3	25/3	26/3	27/3	28/3	29/3	27/3	28/3	29/3
(¥bn)	FY	FY	FY	FY	FYE new	FYE new	FYE new	FYE old	FYE old	FYE old
Sales	1,686.8	1,640.2	1,743.4	1,830.9	1,952.2	2,277.2	2,460.7	1,881.9	2,007.0	-
YoY (%)	-6.9%	-2.8%	6.3%	5.0%	6.6%	16.6%	8.1%	3.9%	6.6%	-
Operating Profit	297.9	215.4	279.7	281.8	440.0	630.0	800.0	380.0	426.0	-
YoY (%)	-29.8%	-27.7%	29.8%	0.8%	56.1%	43.2%	27.0%	40.7%	12.1%	-
OPM	17.7%	13.1%	16.0%	15.4%	22.5%	27.7%	32.5%	20.2%	21.2%	-
Earnings before Taxes	314.9	239.4	304.4	308.6	450.0	640.0	810.0	407.5	453.5	-
Income Taxes	61.5	59.1	71.4	74.9	103.5	147.2	186.3	93.7	104.3	-
Effective Tax Rate	19.5%	24.7%	23.5%	24.3%	23.0%	23.0%	23.0%	23.0%	23.0%	-
Net Profit	253.7	180.8	233.8	233.9	346.9	493.2	624.1	314.0	349.4	-
R&D Expense	124.2	132.5	149.3	158.9	150.0	150.0	150.0	150.0	150.0	-
% of Sales	7.4%	8.1%	8.6%	8.7%	7.7%	6.6%	6.1%	8.0%	7.5%	-
Depreciation	161.3	175.9	173.3	178.2	172.0	200.0	200.0	190.0	200.0	-
Capital Expenditure	208.1	219.5	180.5	247.8	270.0	230.0	230.0	230.0	230.0	-
Cash Flow	415.0	356.7	407.2	412.1	518.9	693.2	824.1	504.0	549.4	-
Free Cash Flow	206.9	137.2	226.7	164.4	248.9	463.2	594.1	274.0	319.4	-

Source: Company data, Citi Research

Figure 10. Murata: Quarterly income statement

	FY26/3				FY27/3			
(¥bn)	Q1A	Q2A	Q3A	Q4A	Q1E	Q2E	Q3E	Q4E
Sales	416.2	486.6	467.5	460.6	447.3	482.7	520.9	501.3
QoQ (%)	1.0%	16.9%	-3.9%	-1.5%	-2.9%	7.9%	7.9%	-3.8%
YoY (%)	-1.3%	5.4%	4.3%	11.8%	7.5%	-0.8%	11.4%	8.8%
Operating Profit	61.6	103.5	37.9	78.8	91.0	124.5	130.9	93.6
YoY (%)	-7.2%	12.8%	-50.2%	73.1%	47.7%	20.3%	245.6%	18.7%
OPM	14.8%	21.3%	8.1%	17.1%	20.3%	25.8%	25.1%	18.7%
Earnings before Taxes	62.3	112.5	49.5	84.4	96.0	124.5	135.9	93.6
Income Taxes	12.7	29.8	24.6	7.9	22.1	28.6	31.3	21.5
Effective Tax Rate	20.3%	26.5%	49.6%	9.3%	23.0%	23.0%	23.0%	23.0%
Net Profit	49.7	82.7	25.0	76.6	74.0	96.0	104.7	72.2
R&D Expense	39.8	38.2	37.9	43.0	35.0	35.0	40.0	40.0
% of Sales	9.6%	7.8%	8.1%	9.3%	7.8%	7.3%	7.7%	8.0%
Depreciation	42.0	42.6	44.3	49.3	40.0	42.0	45.0	45.0
Capital Expenditure	34.7	40.7	88.8	83.6	65.0	65.0	70.0	70.0
Cash Flow	91.7	125.3	69.3	125.9	114.0	138.0	149.7	117.2
Free cash Flow	57.0	84.6	-19.5	42.3	49.0	73.0	79.7	47.2

Source: Company data, Citi Research

Figure 11. Murata: Sales and OP by segment

	23/3	24/3	25/3	26/3	27/3	28/3	29/3	27/3	28/3	29/3
(¥bn)	FY	FY	FY	FY	FYE new	FYE new	FYE new	FYE old	FYE old	FYE old
Sales										
Passive components	914.2	933.8	1,033.1	1,159.7	1,311.6	1,592.2	1,743.2	1,211.8	1,294.0	-
Capacitors	738.8	753.5	831.8	936.4	1,080.6	1,352.2	1,496.2	985.0	1,064.0	-
Industrial EMI filters	175.3	180.3	201.3	223.3	231.0	240.0	247.0	226.8	230.0	-
Devices/modules	761.0	695.2	697.2	625.7	622.6	665.0	697.5	652.1	693.0	-
High frequency device & communications module	453.6	440.1	443.6	364.8	359.6	383.8	393.0	383.1	386.8	-
battery power supply	214.6	164.4	155.7	153.8	155.0	170.0	190.0	161.0	195.0	-
functional device	92.8	90.7	97.8	107.1	108.0	111.2	114.5	108.0	111.2	-
Other	11.7	18.0	13.1	15.2	18.0	20.0	20.0	18.0	20.0	-
Total	1,686.8	1,640.2	1,743.4	1,830.9	1,952.2	2,277.2	2,460.7	1,881.9	2,007.0	-
(YoY)										
Passive components	-7.1%	2.1%	10.6%	12.3%	13.1%	21.4%	9.5%	5.4%	6.8%	-
Capacitors	-6.3%	2.0%	10.4%	12.6%	15.4%	25.1%	10.6%	6.0%	8.0%	-
Industrial EMI filters	-10.5%	2.8%	11.7%	10.9%	3.4%	3.9%	2.9%	2.8%	1.4%	-
Devices/modules	-6.6%	-8.6%	0.3%	-10.3%	-0.5%	6.8%	4.9%	1.0%	6.3%	-
High frequency device & communications module	-14.1%	-3.0%	0.8%	-17.8%	-1.4%	6.7%	2.4%	-0.6%	1.0%	-
battery power supply	18.9%	-23.4%	-5.3%	-1.2%	0.8%	9.7%	11.8%	4.7%	21.1%	-
functional device	-12.7%	-2.2%	7.9%	9.5%	0.8%	3.0%	3.0%	1.6%	3.0%	-
Other	-0.4%	54.5%	19.4%	16.3%	18.4%	11.1%	0.0%	11.8%	11.1%	-
Total	-6.9%	-2.8%	6.3%	5.0%	6.6%	16.6%	8.1%	3.9%	6.6%	-
Business Profit										
Passive components	280.1	234.2	275.2	315.1	428.4	600.3	762.0	356.3	385.4	-
Devices/modules	20.6	-13.0	10.0	-26.5	17.6	34.7	43.0	28.5	45.6	-
Other	-2.8	-4.0	-5.4	-6.5	-6.0	-5.0	-5.0	-4.8	-5.0	-
Total	297.9	215.4	279.7	281.8	440.0	630.0	800.0	380.0	426.0	-
OPM										
Passive components	30.6%	25.1%	26.6%	27.2%	32.7%	37.7%	43.7%	29.4%	29.8%	-
Devices/modules	2.7%	-1.9%	1.4%	-4.2%	2.8%	5.2%	6.2%	4.4%	6.6%	-
Other	-24.2%	-22.2%	-41.6%	-42.5%	-33.3%	-25.0%	-25.0%	-26.7%	-25.0%	-
Total	17.7%	13.1%	16.0%	15.4%	22.5%	27.7%	32.5%	20.2%	21.2%	-

Source: Company data, Citi Research

Figure 12. Murata : Quarterly segment data

	FY26/3				FY27/3			
(¥bn)	Q1A	Q2A	Q3A	Q4A	Q1E	Q2E	Q3E	Q4E
Sales								
Passive components	269.8	295.8	295.5	298.6	313.3	322.7	334.3	341.3
Capacitors	217.3	237.6	239.1	242.4	257.8	265.2	273.8	283.8
Industrial EMI filters	52.5	58.3	56.4	56.2	55.5	57.5	60.5	57.5
Devices/modules	142.6	187.1	168.2	127.7	130.0	156.0	181.6	155.0
High frequency device & communications module	82.1	120.6	102.2	59.9	68.0	92.0	113.6	86.0
Battery power supply	35.8	39.1	38.9	40.0	35.0	37.0	41.0	42.0
Functional devices	24.8	27.4	27.1	27.8	27.0	27.0	27.0	27.0
Other	3.7	3.7	3.7	4.1	4.0	4.0	5.0	5.0
Total	416.2	486.6	467.5	460.6	447.3	482.7	520.9	501.3
(YoY)								
Passive components	7.2%	10.9%	11.7%	19.4%	16.1%	9.1%	13.1%	14.3%
Capacitors	6.9%	11.0%	12.2%	20.3%	18.6%	11.6%	14.5%	17.1%
Industrial EMI filters	8.7%	10.4%	9.5%	15.3%	5.7%	-1.3%	7.3%	2.3%
Devices/modules	-14.7%	-2.2%	-6.6%	-19.4%	-8.9%	-16.6%	7.9%	21.3%
High frequency device & communications module	-17.4%	-4.5%	-15.4%	-38.3%	-17.1%	-23.7%	11.1%	43.5%
Battery power supply	-16.1%	-4.7%	12.4%	7.0%	-2.1%	-5.5%	5.3%	5.0%
Functional devices	-1.6%	14.2%	10.3%	15.5%	8.9%	-1.4%	-0.3%	-2.9%
Other	26.0%	2.2%	10.3%	28.3%	8.0%	9.2%	34.4%	22.8%
Total	-1.3%	5.4%	4.3%	11.8%	7.5%	-0.8%	11.4%	8.8%
Business Profit								
Passive components	71.2	86.5	76.4	81.1	97.8	114.4	115.0	101.2
Devices/modules	-8.0	18.3	-36.4	-0.4	-5.3	11.6	17.4	-6.1
Other	-1.5	-1.3	-2.1	-1.5	-1.5	-1.5	-1.5	-1.5
Total	61.6	103.5	37.9	78.8	91.0	124.5	130.9	93.6
OPM								
Passive components	26.4%	29.2%	25.8%	27.2%	31.2%	35.5%	34.4%	29.7%
Devices/modules	-5.6%	9.8%	-21.7%	-0.3%	-4.1%	7.4%	9.6%	-3.9%
Other	-41.5%	-35.8%	-55.8%	-37.7%	-37.5%	-37.5%	-30.0%	-30.0%
Total	14.8%	21.3%	8.1%	17.1%	20.3%	25.8%	25.1%	18.7%

Source: Company data, Citi Research

Bull/Bear: Murata (6981.T)

¥ 20,000.0
▲86% Upside

¥ 15,000.0
▲39% Upside

¥ 9,000.0
▼16% Downside



Spread 102pp
Current Price and expected returns (upside/downside) as of 26 Jun 2026

BULL Assumptions



- Yen weakens to ¥170/\$
- Expectations for accelerated growth in AI server space
- Decides to make broad-based MLCC price hikes

BASE Assumptions



- MLCC capacity increase of 10%/year and firm decides on a further 20% increase
- Forex: ¥160/\$
- Gradual recovery in global smartphone demand

BEAR Assumptions



- Inventory adjustments in server applications
- Yen appreciation to ¥150/\$
- MLCC ASP stops rising

Murata

Investment strategy

We rate Murata Buy (1), with a target price of ¥15,000. As an electronic component global champion, the company continues to boast impressive profitability. At present we think MLCC growth could exceed market expectations thanks to continued growth in the AI server market. Although the delayed recovery in device modules is weighing slightly on earnings, we rate the shares Buy as we see them as undervalued relative to expectations for sustained growth.

Valuation

In setting our target prices for the electronic component industry, we employ a RoIC-WACC approach, taking net cash into consideration. We set a base year of FY3/29, assume an expected growth rate of 0% and a risk-free rate of 2.0%, and calculate an equity-risk premium of 3.0% from the recent TOPIX earnings yield.

Our ¥15,000 target price is derived as follows.

Theoretical shareholder value (= FY3/29E adjusted NOPAT x future business value multiplier + end-FY3/29E net cash [after deducting an amount equivalent to 5% of annual sales, including book value of investment securities] - end-FY3/29E minority interest)/(1 + WACC)^(number of months to end of valuation base FY/12).

Risks

Risks to our target price include 1) overall technology product demand trends, 2) server and automotive supply chain inventory adjustments, 3) rapid forex changes, 4) intensified competition on the emergence of new rivals in Asia, 5) renewed growth acceleration and market share trends in high-end smartphones, and 6) a change in MLCC supply-demand or price hikes.

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Appendix A-1

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IMPORTANT DISCLOSURES

Murata (6981)
Ratings and Target Price History
Fundamental Research

Analyst: Takayuki Naito



Date	Rating	Target Price	Closing Price
12-Sep-23 02:05:15	2	*2,767	2,731
29-Sep-23 02:05:36	2	*2,800	2,734
06-Dec-23 01:05:00	2	*3,000	2,892

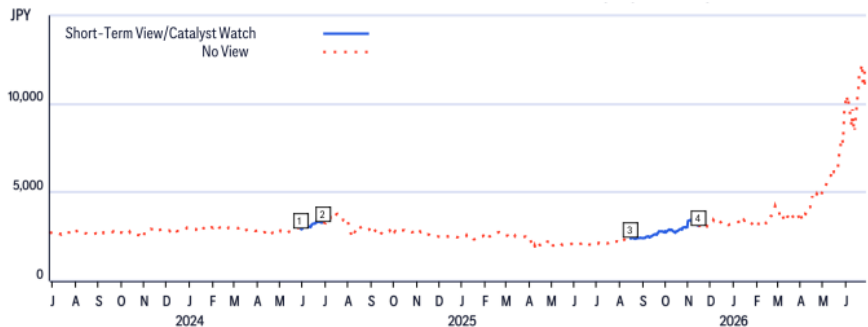
Date	Rating	Target Price	Closing Price
13-Dec-24 01:35:00	2	*2,700	2,493
27-May-25 02:35:00	2	*2,200	2,081
18-Aug-25 02:35:00	2	*2,400	2,444

Date	Rating	Target Price	Closing Price
15-Dec-25 02:24:12	2	*3,300	3,271
17-Mar-26 02:35:59	2	*3,900	3,802

*Indicates Change Rating/target price changes above reflect Eastern Time

Murata (6981)
Short-Term View/Catalyst Watch Research

Analyst: Takayuki Naito



Date	Action	Expected Direction	Duration	Closing Price
29-May-24 22:05:00	Add CW	Upside	30 Days	2,945
28-Jun-24 12:05:20	Remove CW	Upside	30 Days	3,322

Date	Action	Expected Direction	Duration	Closing Price
17-Aug-25 22:35:00	Add STV	Upside	90 Days	2,400
16-Nov-25 20:59:32	Remove STV	Upside	90 Days	3,109

CW - Catalyst Watch , STV - Short-Term View Rating/target price changes above reflect Eastern Time

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Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	8%	37%	47%	16%
% of companies in each rating category that are investment banking clients	38%	41%	28%	42%	37%	36%

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